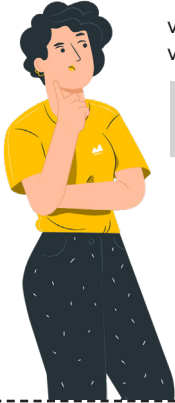


## 1.1 Our Assumptions may go wrong:

**True or Intrinsic value is subjective in nature.** It will vary from person to person as per their assumptions about the future performance of the company.



*This is just our opinion.  
The risk here is that we may be mistaken.*

we estimate that the company's sales will increase to 3X in next 4 years.

**Stock**

*Based on this, we assume that the true value is around Rs. 1500, and **proceed with purchasing that stock** available at Rs 1200 in the market.*

4 years later, sales has only increased to 1.5X and not 3X. Here our assumption went wrong and therefore, we will have a poor return.

**We can be wrong with our estimates and assumptions in the process of determining the true value,** and as a result, may end up buying overvalued share thinking they are undervalued.

For example,

**We expected that NESTLE will grow at a rate of 15% per annum in terms of sales, instead, it grew at a rate of 5% per annum.**

**“Since the true value was lower than what we had assumed, we will end up with a relatively poor investment return.”**

Actual Value < Estimated True Value -----> **Incorrect/Poor investment decision**